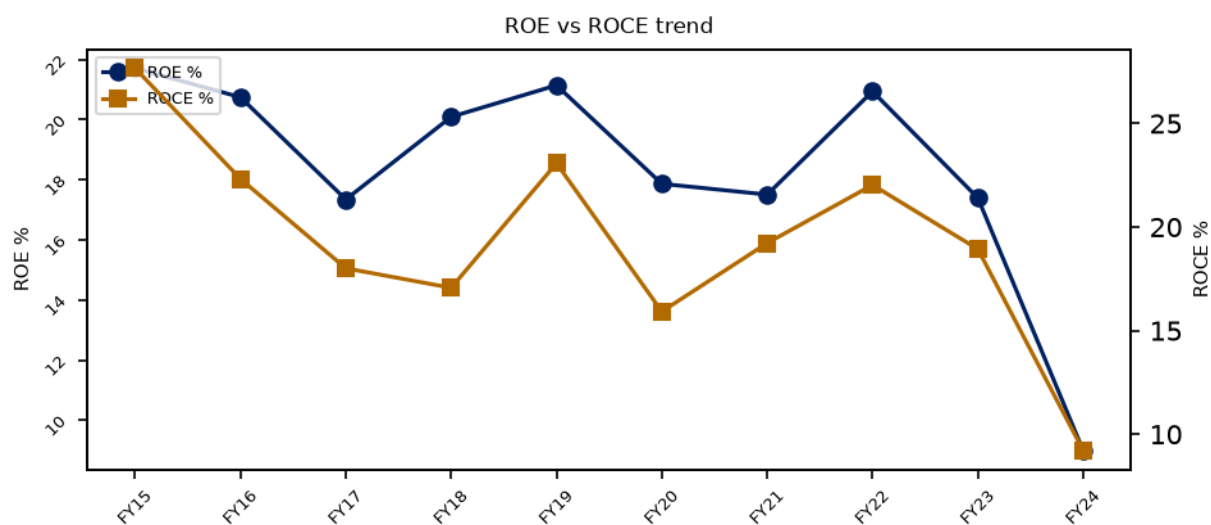
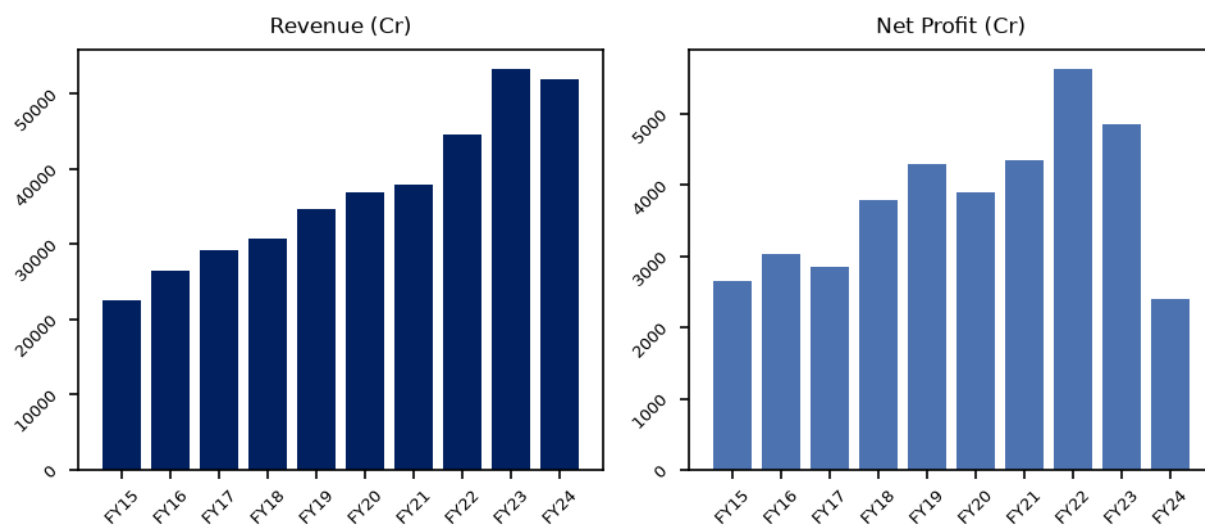
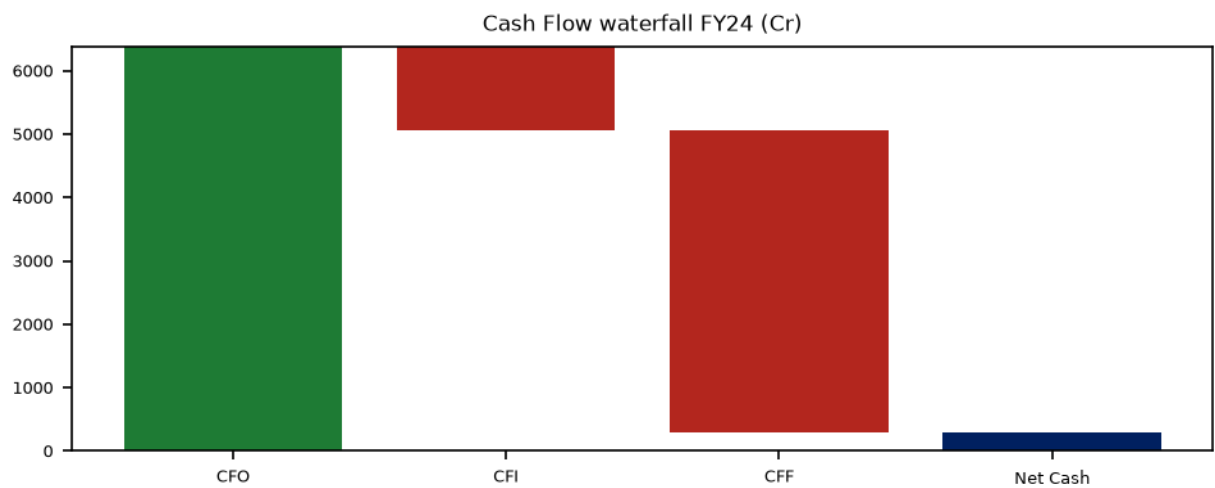
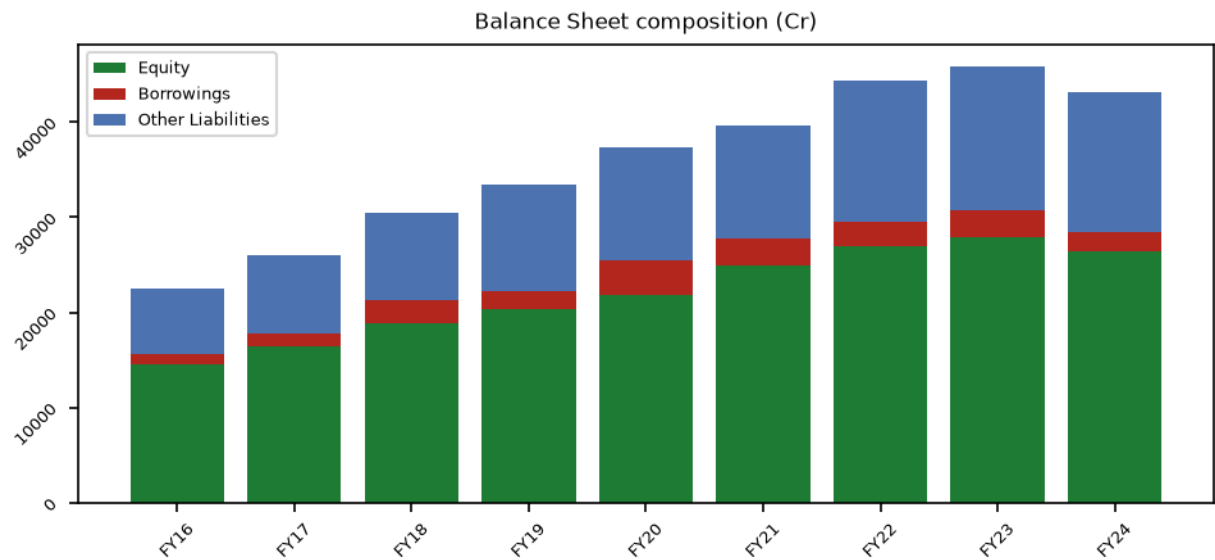


Tech Mahindra Ltd (TECHM) — Information Technology / IT Services

9.0 ROE %	9.2 ROCE %	4.6 Net Margin %
0.1x D/E	8.4 Rev CAGR 5Y %	57.4 P/E



TECHM — Balance Sheet & Cash Flow



Pros

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Growing asset base funded by internal accruals reflects self-sustaining growth

Cons

- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Operating margins declining for 3 consecutive years suggests pricing or cost pressure
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

Capital Allocation: Reinvestor - Debt Paydown